



Bill Number: H.B. 2398

Mesnard Floor Amendment

Reference to: FINANCE Committee amendment

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Exempts a watercraft owner who provides a watercraft for rent or charter in Arizona fewer than four times in a calendar year from the requirement to maintain a commercial boat liability policy or a personal lines boat policy with a specified commercial or charter boat liability coverage endorsement.
2. Makes conforming changes.

MESNARD FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2398
(Reference to FINANCE Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{[ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS]} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{[Orange lowercase underlining in double curly brackets]} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
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~~{[Orange lowercase strikeout in double curly brackets]}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~<<Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 5-301, Arizona Revised Statutes, is amended to
3 read:

4 5-301. Definitions

5 In this chapter, unless the context otherwise requires:

6 [1. "BOAT LIVERY" MEANS A BUSINESS THAT RENTS, LEASES OR CHARTERS A
7 MOTORIZED WATERCRAFT, A PERSONAL WATERCRAFT OR ANY OTHER WATERCRAFT TO THE
8 GENERAL PUBLIC FOR NONCOMMERCIAL, RECREATIONAL USE.]

9 ~~[1.]~~ [2.] "Commercial motorized watercraft" means a motorized
10 watercraft that carries passengers or property for a valuable
11 consideration that is paid to the owner, charterer, operator or agent or
12 to any other person interested in the watercraft.

13 ~~[2.]~~ [3.] "Commission" means the Arizona game and fish commission.

14 ~~[3.]~~ [4.] "Department" means the Arizona game and fish department.

15 ~~[4.]~~ [5.] "Documented watercraft" means any watercraft currently
16 registered as a watercraft of the United States pursuant to 46 Code of
17 Federal Regulations part 67.

1 ~~[5.]~~ ~~[6.]~~ "Domicile" means a person's true, fixed and permanent
2 home and principal residence, proof of which may be demonstrated as
3 prescribed by rules adopted by the commission.

4 ~~[6.]~~ ~~[7.]~~ "Launch" means any motorized watercraft that carries a
5 coach and that is used to follow and monitor rowing shells during
6 practice, training or competitive rowing events.

7 ~~[7.]~~ ~~[8.]~~ "Motorboat" means any watercraft that is not more than
8 sixty-five feet in length and that is propelled by machinery whether or
9 not such machinery is the principal source of propulsion.

10 ~~[8.]~~ ~~[9.]~~ "Motorized watercraft" means any watercraft that is
11 propelled by machinery whether or not the machinery is the principal
12 source of propulsion.

13 ~~[9.]~~ ~~[10.]~~ "Nonresident" means a citizen of the United States or
14 an alien person who is not domiciled in this state and who is not a
15 resident as defined in this section.

16 ~~[10.]~~ ~~[11.]~~ "Operate" means to operate or be in actual physical
17 control of a watercraft while on public waters.

18 ~~[11.]~~ ~~[12.]~~ "Operator" means a person who operates or is in actual
19 physical control of a watercraft.

20 ~~[12.]~~ ~~[13.]~~ "Person" includes any individual, firm, corporation,
21 partnership or association, and any agent, assignee, trustee, executor,
22 receiver or representative thereof.

23 ~~[14.]~~ "PERSONAL WATERCRAFT" MEANS A WATERCRAFT THAT IS ALL OF THE
24 FOLLOWING:

25 ~~(a)~~ LESS THAN SIXTEEN FEET LONG.

26 ~~(b)~~ PROPELLED BY MACHINERY POWERING A WATER JET PUMP.

27 ~~(c)~~ DESIGNED TO BE OPERATED BY A PERSON WHO SITS, STANDS OR KNEELS
28 ON THE WATERCRAFT RATHER THAN SITTING OR STANDING INSIDE THE WATERCRAFT.]

29 ~~[13.]~~ ~~[15.]~~ "Public waters" means any body of water that is
30 publicly owned or that the public is allowed to use without permission of
31 the owner ~~[AND]~~ on which a motorized watercraft can be navigated,
32 including that part of waters that is common to interstate boundaries and
33 that is within the boundaries of this state.

34 ~~[14.]~~ ~~[16.]~~ "Resident" means a person who is either:

35 (a) A member of the armed forces of the United States on active
36 duty and stationed in this state for a period of thirty days immediately
37 before the date of application for a watercraft decal.

38 (b) A member of the armed forces of the United States on active
39 duty and stationed in another state or another country and who lists this
40 state as that member's home of record at the time of an application for a
41 watercraft decal.

42 (c) Domiciled in this state for at least six consecutive months
43 immediately before the date of the application for a watercraft decal and
44 who does not claim residency for any purpose in any other state or
45 country.

46 ~~[15.]~~ ~~[17.]~~ "Revocation" means invalidating the certificate of
47 number, numbers and annual validation decals issued by the department to a
48 watercraft and prohibiting the operation of the watercraft on the waters
49 of this state during a period of noncompliance with this chapter.

1 ~~[16.]~~ [18.] "Rowing shell" means a manually propelled watercraft
2 that is recognized by a national racing association for use in practice,
3 training or competitive rowing.

4 ~~[17.]~~ [19.] "Sailboard" means any board of less than fifteen feet
5 in length that is designed to be propelled by wind action on a sail for
6 navigation on the water by a person operating the board.

7 ~~[18.]~~ [20.] "Special anchorage area" means an area set aside and
8 under the control of a federal, state or local governmental agency, or by
9 a duly authorized marina operator or concessionaire for the mooring,
10 anchoring or docking of watercraft.

11 ~~[19.]~~ [21.] "State of principal operation" means the state where a
12 watercraft is primarily used, navigated or employed.

13 ~~[20.]~~ [22.] "Underway" means a watercraft that is not at anchor,
14 is not made fast to the shore or is not aground.

15 ~~[21.]~~ [23.] "Undocumented watercraft" means any watercraft that
16 does not have and is not required to have a valid marine document as a
17 watercraft of the United States.

18 ~~[22.]~~ [24.] "Wakeless speed" means a speed that does not cause the
19 watercraft to create a wake, but in no case in excess of five miles per
20 hour.

21 ~~[23.]~~ [25.] "Watercraft" means any boat designed to be propelled
22 by machinery, oars, paddles or wind action on a sail for navigation on the
23 water, or as may be defined by rule of the commission.

24 ~~[24.]~~ [26.] "Waterway" means any body of water, public or private,
25 on which a watercraft can be navigated.>>

26 Sec. 2. Title 5, chapter 3, article 5, Arizona Revised Statutes, is
27 amended by adding ~~[section]~~ [sections] 5-342 [and 5-342.01], to read:

28 5-342. Watercraft; insurance responsibility requirements;
29 required limits; violation; classification;
30 applicability; definition

31 A. NOTWITHSTANDING ANY OTHER LAW, AN OWNER OF A WATERCRAFT WHO
32 PROVIDES A WATERCRAFT FOR RENT [OR CHARTER] IN THIS STATE SHALL MAINTAIN A
33 COMMERCIAL BOAT LIABILITY POLICY [OR A PERSONAL LINES BOAT POLICY WITH A
34 SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE ENDORSEMENT].

35 B. AN OWNER'S COMMERCIAL BOAT LIABILITY POLICY [OR PERSONAL LINES
36 BOAT POLICY WITH A SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE
37 ENDORSEMENT] SHALL PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS
38 FOLLOWS:

39 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
40 ANY ONE ACCIDENT.

41 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
42 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

43 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
44 OTHERS IN ANY ONE ACCIDENT.

45 C. THE OWNER OF A WATERCRAFT WHO PROVIDES A WATERCRAFT FOR RENT [OR
46 CHARTER] IN THIS STATE SHALL MAINTAIN AT ALL TIMES THE AMOUNTS PRESCRIBED
47 IN SUBSECTION B OF THIS SECTION FOR INJURIES TO PERSONS AND FOR LOSS OR
48 DAMAGE TO PROPERTY BY REASON OF THE RENTAL OR OPERATION OF THE WATERCRAFT
49 THAT IS PROVIDED BY THE OWNER OF THE WATERCRAFT FOR RENT [OR CHARTER].

1 D. THE COMMISSION MAY REQUIRE AN OWNER OF A WATERCRAFT WHO IS
2 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
3 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
4 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE
5 CERTIFICATION TO THE NAMED INSURER TO DETERMINE IF THE CERTIFICATION IS
6 CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
7 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
8 GOOD FAITH BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE INSURER.

9 E. AN OWNER OF A WATERCRAFT WHO RENTS [OR CHARTERS] A WATERCRAFT IN
10 THIS STATE WITHOUT MEETING THE INSURANCE RESPONSIBILITY REQUIREMENTS OF
11 THIS SECTION IS GUILTY OF:

12 1. A CLASS 3 MISDEMEANOR.

13 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
14 ACCIDENT IN THIS STATE.

15 {{F. THIS SECTION DOES NOT APPLY TO THE OWNER OF A WATERCRAFT WHO
16 PROVIDES A WATERCRAFT FOR RENT OR CHARTER IN THIS STATE FEWER THAN FOUR
17 TIMES IN A CALENDAR YEAR.}}

18 [[{F.}] {G.}] FOR THE PURPOSES OF THIS SECTION, "WATERCRAFT FOR
19 RENT":

20 1. MEANS THE TRANSFER OF POSSESSION AND USE OF A WATERCRAFT TO A
21 PERSON OTHER THAN THE WATERCRAFT'S OWNER FOR A DEFINED PERIOD OF TIME IN
22 EXCHANGE FOR A FEE AND THE OWNER OF THE WATERCRAFT IS NOT PRESENT ON THE
23 WATERCRAFT DURING THE DEFINED PERIOD OF TIME.

24 2. DOES NOT INCLUDE A WATERCRAFT THAT IS AVAILABLE FOR RENT THROUGH
25 A PEER-TO-PEER WATERCRAFT SHARING PROGRAM PURSUANT TO ARTICLE 8.1 OF THIS
26 CHAPTER.]

27 5-342.01. Commercial boat liability insurance; no mandatory
28 offer; definition

29 [A. NOTWITHSTANDING ANY OTHER LAW, AN INSURER THAT IS AUTHORIZED TO
30 TRANSACT INSURANCE IN THIS STATE IS NOT REQUIRED TO OFFER, ISSUE, RENEW OR
31 PROVIDE A COMMERCIAL BOAT LIABILITY POLICY.

32 B. THIS SECTION DOES NOT PROHIBIT AN INSURER FROM VOLUNTARILY
33 OFFERING OR PROVIDING A COMMERCIAL BOAT LIABILITY POLICY PURSUANT TO THE
34 INSURER'S UNDERWRITING STANDARDS AND RISK SELECTION.

35 C. FOR THE PURPOSES OF THIS SECTION, "COMMERCIAL BOAT LIABILITY
36 POLICY" MEANS LIABILITY INSURANCE COVERAGE THAT IS DESCRIBED IN SECTION
37 20-255 AND THAT IS ISSUED IN CONNECTION WITH A WATERCRAFT THAT IS USED
38 PRIMARILY FOR COMMERCIAL, FOR-HIRE, RENTAL, CHARTER OR BUSINESS PURPOSES.]

39 <<Sec. 3. Section 5-350, Arizona Revised Statutes, is amended to
40 read:

41 5-350. Personal watercraft; requirements for operation;
42 applicability

43 A. A person shall not operate a personal watercraft unless each
44 person aboard is wearing a wearable personal flotation device that is
45 approved by the United States coast guard.

46 B. A person who operates a personal watercraft that is equipped by
47 the manufacturer with a lanyard type engine cutoff switch shall attach the
48 lanyard to his body, clothing or personal flotation device as appropriate
49 for the specific watercraft.

1 C. A person shall not operate or knowingly allow another person to
2 operate a personal watercraft under ~~his~~ [THE PERSON'S] ownership or
3 control in a reckless or negligent manner endangering the life or property
4 of another person. Prima facie evidence of reckless operation exists if
5 the person commits two or more of the following acts simultaneously:

6 1. Operates the personal watercraft within a zone of proximity to
7 another watercraft closer than sixty feet unless both are leaving a flat
8 wake or are traveling at a speed of five nautical miles per hour or less.

9 2. Operates the personal watercraft within the vicinity of a
10 motorboat in a manner that obstructs the visibility of either operator.

11 3. Heads into the wake of a motorboat that is within a zone of
12 proximity closer than sixty feet and causes one-half or more of the length
13 of the personal watercraft to leave the water.

14 4. Within a zone of proximity to another watercraft closer than
15 sixty feet, maneuvers quickly, turns sharply or swerves, unless the
16 maneuver is necessary to avoid a collision.

17 D. If equipped by the manufacturer, a person shall not operate a
18 personal watercraft without a functioning spring-loaded throttle mechanism
19 that immediately returns the engine to an idle speed on release of the
20 operator's hand from the control or without any other engine cutoff
21 feature that is installed by the manufacturer.

22 E. A personal watercraft shall not be loaded and operated with
23 passengers or cargo beyond its safe carrying capacity or the
24 manufacturer's recommended limits.

25 F. A person who owns, leases or hires a personal watercraft or who
26 has charge or control over a personal watercraft shall not authorize or
27 knowingly ~~permit~~ [ALLOW] the personal watercraft to be operated in
28 violation of this section.

29 G. This section does not apply to a performer who engages in a
30 professional exhibition or to a person who participates in an officially
31 sanctioned regatta, race, marine parade, tournament or exhibition.

32 ~~[H. For purposes of this section, "personal watercraft" means a
33 watercraft that is less than sixteen feet long, propelled by machinery
34 powering a water jet pump and designed to be operated by a person who
35 sits, stands or kneels on rather than sitting or standing inside the
36 watercraft.]]>>~~

37 Sec. 4. Section 5-371, Arizona Revised Statutes, is amended to
38 read:

39 5-371. Boat liveries; requirements; insurance requirements;
40 required limits; violation; classification

41 A. The owner of a boat livery shall keep or cause to be kept a
42 record of the name and address of the person or persons hiring any
43 watercraft ~~which~~ THAT is designed or ~~permitted~~ ALLOWED by ~~him~~ THE OWNER to
44 be operated as a watercraft, the identification number ~~thereof~~ OF THE
45 WATERCRAFT, the departure date and time and the expected and actual time
46 of return. Such record shall be preserved for at least three months.

47 B. Neither the owner of a boat livery nor ~~his~~ THE OWNER'S agent or
48 employee shall ~~permit~~ ALLOW any watercraft to be operated from ~~his~~ THE

1 OWNER'S premises unless it shall have been provided, either by the owner
2 or renter, with the equipment required by this chapter.

3 C. The certificate of number for a watercraft less than twenty-six
4 feet in length that is leased or rented to a person for noncommercial use
5 of less than twenty-four hours may be retained on shore by the owner or
6 ~~his~~ THE OWNER'S representative at the place from which the watercraft
7 departs or returns to the possession of the owner or ~~his~~ THE OWNER'S
8 representative. A watercraft ~~which~~ THAT does not have the certificate of
9 number on board shall be identified while in use as may be prescribed by
10 the regulations of the commission.

11 D. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN A COMMERCIAL BOAT
12 LIABILITY POLICY FOR PERSONS WHO HIRE A WATERCRAFT FOR USE ON A WATERWAY
13 IN THIS STATE. THIS LIABILITY COVERAGE SHALL BE IN EFFECT AT ANY TIME
14 THAT THE WATERCRAFT IS OPERATED ON A WATERWAY IN THIS STATE.

15 E. A BOAT LIVERY OWNER'S COMMERCIAL BOAT LIABILITY POLICY SHALL
16 PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS FOLLOWS:

17 1. \$25,000 BECAUSE OF BODILY INJURY TO OR THE DEATH OF ONE PERSON
18 IN ANY ONE ACCIDENT.

19 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
20 INJURY TO OR THE DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

21 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
22 OTHERS IN ANY ONE ACCIDENT.

23 F. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN AT ALL TIMES THE
24 AMOUNTS PRESCRIBED IN SUBSECTION E OF THIS SECTION.

25 G. THE COMMISSION MAY REQUIRE THE OWNER OF A BOAT LIVERY THAT IS
26 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
27 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
28 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE
29 CERTIFICATION TO THE NAMED INSURER TO DETERMINE WHETHER THE CERTIFICATION
30 IS CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
31 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
32 GOOD FAITH AND ARE BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE
33 INSURER.

34 H. THE OWNER OF A BOAT LIVERY THAT CAUSES A WATERCRAFT TO BE
35 OPERATED ON A WATERWAY IN THIS STATE WITHOUT MEETING THE INSURANCE
36 RESPONSIBILITY REQUIREMENTS OF THIS SECTION IS GUILTY OF:

37 1. A CLASS 3 MISDEMEANOR.

38 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
39 ACCIDENT IN THIS STATE.

40 <<Sec. 5. Title 5, chapter 3, Arizona Revised Statutes, is amended
41 by adding article 8.1, to read:

42 ARTICLE 8.1. PEER-TO-PEER WATERCRAFT SHARING

43 5-385. Definitions

44 [IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

45 1. "PEER-TO-PEER WATERCRAFT SHARING" MEANS THE AUTHORIZED USE OF A
46 SHARED WATERCRAFT THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM BY AN
47 INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER.

48 2. "PEER-TO-PEER WATERCRAFT SHARING PROGRAM":

1 (a) MEANS A BUSINESS PLATFORM THAT CONNECTS WATERCRAFT OWNERS WITH
2 WATERCRAFT OPERATORS TO ENABLE THE SHARING OF WATERCRAFT FOR FINANCIAL
3 CONSIDERATION.

4 (b) DOES NOT INCLUDE:

5 (i) A BOAT LIVERY.

6 (ii) COMMERCIAL MOTORIZED WATERCRAFT.

7 3. "SHARED WATERCRAFT":

8 (a) MEANS A WATERCRAFT THAT IS AVAILABLE FOR SHARING THROUGH A
9 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

10 (b) DOES NOT INCLUDE:

11 (i) COMMERCIAL MOTORIZED WATERCRAFT.

12 (ii) A WATERCRAFT THAT IS OWNED BY A BOAT LIVERY AND THAT IS MADE
13 AVAILABLE FOR RENT OR USE IN THIS STATE.

14 4. "SHARED WATERCRAFT OPERATOR" MEANS AN INDIVIDUAL WHO HAS BEEN
15 AUTHORIZED TO OPERATE A SHARED WATERCRAFT BY THE SHARED WATERCRAFT OWNER
16 PURSUANT TO A SHARED WATERCRAFT TRANSACTION.

17 5. "SHARED WATERCRAFT OWNER" MEANS THE REGISTERED OWNER OF A
18 WATERCRAFT THAT IS MADE AVAILABLE FOR SHARING TO A SHARED WATERCRAFT
19 OPERATOR THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

20 6. "SHARED WATERCRAFT TRANSACTION" MEANS THE AUTHORIZED USE OF A
21 SHARED WATERCRAFT BY AN INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER
22 THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

23 7. "WATERCRAFT SHARING PERIOD" MEANS THE PERIOD OF TIME THAT BEGINS
24 WITH THE WATERCRAFT SHARING START TIME AND ENDS AT THE WATERCRAFT SHARING
25 TERMINATION TIME.

26 8. "WATERCRAFT SHARING START TIME" MEANS THE TIME WHEN A SHARED
27 WATERCRAFT BECOMES SUBJECT TO THE CONTROL OF THE SHARED WATERCRAFT
28 OPERATOR AT OR AFTER THE TIME THAT THE RESERVATION OF THE SHARED
29 WATERCRAFT IS SCHEDULED TO BEGIN AS DOCUMENTED IN THE RECORDS OF A
30 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

31 9. "WATERCRAFT SHARING TERMINATION TIME" MEANS THE EARLIEST OF THE
32 FOLLOWING:

33 (a) THE EXPIRATION OF THE AGREED PERIOD OF TIME ESTABLISHED FOR THE
34 USE OF A SHARED WATERCRAFT IN THE SHARED WATERCRAFT TRANSACTION AND THE
35 SHARED WATERCRAFT IS DELIVERED TO THE LOCATION THAT IS SPECIFIED IN THE
36 SHARED WATERCRAFT TRANSACTION.

37 (b) WHEN THE SHARED WATERCRAFT IS RETURNED TO A LOCATION AS
38 ALTERNATIVELY AGREED TO BY THE SHARED WATERCRAFT OWNER AND THE SHARED
39 WATERCRAFT OPERATOR AS ESTABLISHED THROUGH A PEER-TO-PEER WATERCRAFT
40 SHARING PROGRAM.

41 (c) WHEN THE SHARED WATERCRAFT OWNER OR A DESIGNEE OF THE SHARED
42 WATERCRAFT OWNER TAKES POSSESSION AND CONTROL OF THE SHARED WATERCRAFT.]

43 5-386. Insurance requirements; information sharing;
44 recordkeeping; liability; indemnification

45 [A. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL MAINTAIN A
46 PRIMARY COMMERCIAL BOAT LIABILITY INSURANCE POLICY THAT PROVIDES COVERAGE
47 FOR BODILY INJURY OR PROPERTY DAMAGE THAT OCCURS DURING THE WATERCRAFT
48 SHARING PERIOD IN AN AMOUNT THAT IS STATED IN THE SHARED WATERCRAFT
49 TRANSACTION AND THAT IS NOT LESS THAN:

1 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
2 ANY ONE ACCIDENT.

3 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
4 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

5 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
6 OTHERS IN ANY ONE ACCIDENT.

7 B. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL ENSURE THAT THE
8 COMMERCIAL LIABILITY INSURANCE POLICY THAT PROVIDES INSURANCE COVERAGE AND
9 THAT IS REQUIRED BY THIS SECTION MEETS BOTH OF THE FOLLOWING REQUIREMENTS:

10 1. RECOGNIZES THAT THE WATERCRAFT THAT IS INSURED UNDER THE POLICY
11 IS MADE AVAILABLE AND USED THROUGH THE PEER-TO-PEER WATERCRAFT SHARING
12 PROGRAM.

13 2. DOES NOT EXCLUDE THE USE OF A SHARED WATERCRAFT BY A SHARED
14 WATERCRAFT OPERATOR.

15 C. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE PROOF OF
16 INSURANCE TO THE SHARED WATERCRAFT OPERATOR BEFORE THE WATERCRAFT SHARING
17 START TIME. IF AN ACCIDENT OCCURS DURING THE WATERCRAFT SHARING PERIOD,
18 THE SHARED WATERCRAFT OPERATOR AND THE PEER-TO-PEER WATERCRAFT SHARING
19 PROGRAM SHALL PROVIDE PROOF OF INSURANCE AT THE TIME OF THE ACCIDENT TO
20 THE PARTIES INVOLVED IN THE ACCIDENT.

21 D. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL COLLECT AND
22 VERIFY RECORDS RELATING TO THE USE OF A SHARED WATERCRAFT, INCLUDING TIMES
23 USED, FEES PAID BY THE SHARED WATERCRAFT OPERATOR AND MONIES RECEIVED BY
24 THE SHARED WATERCRAFT OWNER. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM
25 SHALL RETAIN THESE RECORDS FOR AT LEAST SIX YEARS AFTER THE TERMINATION OF
26 A SHARED WATERCRAFT TRANSACTION.

27 E. IN AN INSURANCE CLAIM INVESTIGATION, THE PEER-TO-PEER WATERCRAFT
28 SHARING PROGRAM AND ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE
29 REQUIRED BY THIS SECTION SHALL FULLY COOPERATE WITH ALL OTHER PARTIES
30 INVOLVED IN THE CLAIM. IN AN INSURANCE CLAIM INVESTIGATION, BOTH OF THE
31 FOLLOWING APPLY:

32 1. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE TO ANY
33 INTERESTED PARTY THE RECORDS REQUIRED BY SUBSECTION D OF THIS SECTION.

34 2. ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE REQUIRED BY
35 THIS SECTION SHALL PROVIDE A CLEAR DESCRIPTION OF THE COVERAGE AFFORDED,
36 ANY EXCLUSIONS FROM THE COVERAGE AND THE LIMITS OF THE COVERAGE PROVIDED
37 UNDER THE INSURANCE POLICY.

38 F. NOTWITHSTANDING ANY OTHER LAW, THIS SECTION DOES NOT PROHIBIT A
39 PEER-TO-PEER WATERCRAFT SHARING PROGRAM FROM RECOVERING THE PEER-TO-PEER
40 WATERCRAFT SHARING PROGRAM'S INSURANCE COSTS THAT ARE INCURRED IN
41 SATISFYING THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM'S OBLIGATIONS
42 PURSUANT TO THIS SECTION FROM A SHARED WATERCRAFT OWNER OR SHARED
43 WATERCRAFT OPERATOR.

44 G. THIS SECTION DOES NOT LIMIT EITHER OF THE FOLLOWING:

45 1. THE LIABILITY OF A PEER-TO-PEER WATERCRAFT SHARING PROGRAM FOR
46 ANY ACT OR OMISSION OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM THAT
47 RESULTS IN INJURY TO ANY PERSON AS A RESULT OF THE USE OF A SHARED
48 WATERCRAFT THROUGH A SHARED WATERCRAFT TRANSACTION.

1 2. THE ABILITY OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM, BY
2 CONTRACT, TO SEEK INDEMNIFICATION FROM THE SHARED WATERCRAFT OWNER OR THE
3 SHARED WATERCRAFT OPERATOR FOR ECONOMIC LOSS THAT IS SUSTAINED BY THE
4 PEER-TO-PEER WATERCRAFT SHARING PROGRAM AND THAT RESULTS FROM A BREACH OF
5 THE TERMS AND CONDITIONS OF THE SHARED WATERCRAFT TRANSACTION.
6 H. AN INSURANCE POLICY REQUIRED BY THIS SECTION MAY BE OBTAINED
7 FROM AN INSURER AUTHORIZED TO TRANSACT INSURANCE IN THIS STATE PURSUANT TO
8 TITLE 20, CHAPTER 2, ARTICLE 1 OR A SURPLUS LINES INSURER OR DOMESTIC
9 SURPLUS LINES INSURER AUTHORIZED TO ISSUE INSURANCE COVERAGE IN THIS STATE
10 PURSUANT TO TITLE 20, CHAPTER 2, ARTICLE 5.]>>

11 Enroll and engross to conform

12 Amend title to conform

J.D. MESNARD

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